

Gold Slips as Traders Weigh Fed Rate Path Over Easing Inflation

- US PPI fell in July for first time in more than two years
- Two Fed officials still see interest-rate hikes into 2023



By [Yvonne Yue Li](#)

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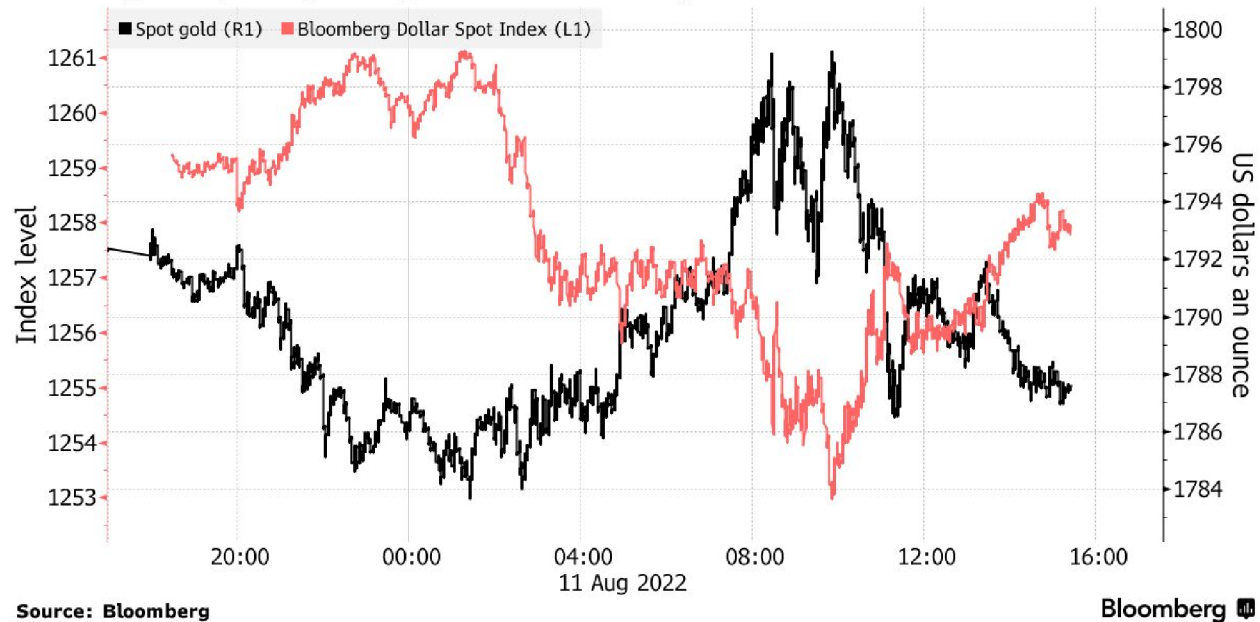
Gold gave up early gains with the dollar paring most losses as traders assessed the Federal Reserve's path of monetary tightening after another report showed US inflation is easing.

A key measure of US producer prices unexpectedly fell in July for the first time in more than two years, largely reflecting a drop in energy costs and representing a welcome moderation in inflationary pressures. The Labor Department data followed Wednesday's release that showed the US consumer price index decelerated by more than expected in July, with traders paring bets on tightening. US jobless claims also came in lower than expected on Thursday, painting a favorable picture of the health of the economy.

"US producer prices confirmed Wall Street's belief that inflation is cooling," said Ed Moya, senior market analyst at Oanda. "The dollar is in freefall as Fed rate hike expectations continue to dip, which is good news for all commodities, especially gold."

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Bullion gave up early PPI gains as the dollar pared most losses



Still, two Fed officials responded to Wednesday's softening inflation by saying it doesn't change the central bank's path toward even higher interest rates. Minneapolis Fed President Neel Kashkari said he wants the benchmark rate at 3.9% by the end of this year and at 4.4% by the end of 2023, adding that it wasn't realistic to conclude the Fed will start cutting early next year.

His counterpart in Chicago, Charles Evans, said inflation remains "unacceptably high" and that he expects "that we will be increasing rates the rest of this year and into next year to make sure inflation gets back to our 2% objective."

Spot gold fell 0.2% to \$1,788.27 an ounce as of 3:33 p.m. in New York, after earlier fluctuating between gains and losses. Bullion for December delivery slipped 0.4% to settle at \$1,807.20 on the Comex. The Bloomberg Dollar Spot Index weakened 0.1%. Silver fell, while platinum and palladium climbed.

– *With assistance from Eddie Spence and Ranjeetha Pakiam*



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